

BEFORE THE  
FEDERAL MARITIME COMMISSION

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DOCKET NO. 17-05

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CMI DISTRIBUTION, INC.,  
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN  
AS SERVICE BY AIR CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

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**CMI DISTRIBUTION INC.'S REPLY TO SERVICE BY AIR'S EXCEPTIONS**

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**CMI DISTRIBUTION INC.'S REPLY TO SERVICE BY AIR'S EXCEPTIONS**

Pursuant to Rule 227 of the Commission's Rules of Practice and Procedure, Complainant CMI Distribution Inc. ("CMI") hereby replies to the exceptions ("Exceptions") filed by Respondent Service by Air, Inc. ("Service by Air") to the May 24, 2019 initial decision of the Presiding Officer ("ID").<sup>1</sup>

**I. SUMMARY OF ARGUMENT**

Service by Air continues to rehash and recycle the same baseless arguments it asserted in its briefing to the Administrative Law Judge ("ALJ"), which arguments were fully considered and properly rejected in the ID. Despite overwhelming evidence to the contrary, Service by Air continues to insist that it did not hold itself out as or operate as an NVOCC. In so contending, Service by Air baldly asserts that the Commission should ignore the fact that it issued bills of

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<sup>1</sup> CMI's reply to Service by Air's Exceptions does not address the issues raised in the Exceptions filed by CMI on July 9, 2019 nor does it address the basis for CMI's entitlement to its attorneys' fees as a final decision has not been issued.

lading to CMI for the transportation at issue because the bills of lading, were somehow not “operational.” Because Service by Air’s contentions have no legal or factual basis, the Commission should affirm the ID’s holding that Service by Air acted as an unlicensed NVOCC and charged CMI rates and ancillary charges not reflected in a published tariff.

Service by Air’s contention that the ID erred finding that its Shipping Act violations were “normal, customary, and continuous” is equally specious. The evidence in the record, as reflected in the ID clearly establishes that Service by Air improperly and fraudulently charged CMI hundreds of thousands of dollars in nonexistent demurrage charges (that were not reflected in a published tariff) over a period from April 2014 through July 2015. Thus, the ID properly found a systematic and continuous pattern of Shipping Act violations by Service by Air.

Finally, Service by Air suggests that the damages assessed against it should be reduced by \$27,346.75 because the ALJ purportedly overlooked amounts that Service by Air paid to third parties. Service by Air’s contention that this was an oversight on the part of the ALJ, however, again has no support in the record. Indeed, the ID expressly references the files purportedly showing amounts paid to third parties by Service by Air. Thus, there is no evidence to support its claims that this was an error or oversight on the part of the ALJ. Instead, the ID clearly, and accurately, reflects that Service by Air is not permitted to retain (and offset) funds its invoiced and collected from CMI for “demurrage,” based upon the fact that unrelated expenses were paid to third parties. The ID’s holding is particularly justified here, given that Service by Air is a sophisticated, multi-million-dollar full-service transportation provider. As such it should not be permitted to benefit from its own deceptive and fraudulent billing practices under the guise that its

invoices for nonexistent demurrage charges were somehow inadvertent mistakes or the product of “inartful” invoicing.<sup>2</sup>

## **II. PRESIDING OFFICER FINDINGS**

In the ID, the Presiding Officer correctly recognized established governing authority and precedent to reach a finding that Service by Air operated as an NVOCC and violated the Shipping Act. The ID appropriately held that based on the evidence in the record Service by Air meets the definition of an NVOCC. Under 46 U.S.C. § 40102(6), in order “to determine whether an entity is operating as an NVOCC, the Commission must assess whether the entity’s operations meet the three elements of common carriage set out in the Act.” *Anderson Int’l Transport—Possible of Violations of Shipping Act of 1984*, 2013 FMC LEXIS 19 at \*22 (FMC 2013) (*Anderson Int’l*) (quoting *Worldwide Relocations, Inc.—Possible Violations of Shipping Act*, 2012 FMC LEXIS 23 at \*25 (FMC 2012) (*Worldwide Relocations* (FMC) (footnote omitted))). ID at 11. The Presiding Officer held that Service by Air meets those three elements by (1) holding itself out to the general public to provide transportation, (2) assuming responsibility for the shipments, and (3) using an ocean vessel for all or part of the transportation of the goods from China to the United States. ID at 11-13.

The ID further concluded that because Service by Air was not a licensed NVOCC and did not publish a tariff, Service by Air violated 46 U.S.C. §41104(2). Under section 41104(2), it expressly provides that a common carrier may not provide service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff ....” In

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<sup>2</sup> Indeed, as reflected in CMI’s Exceptions to the ID, under the plain language of the Shipping Act, Service by Air is only permitted to collect amounts reflected in a valid, published tariff. Thus, there can be no offset even for amounts paid to third parties for actual demurrage, which the \$27,346.75 at issue were not.

*Graniteville Co. v. Scarade Lines*, 25 S.R.R. 1330 (F.M.C. 1991), the Commission addressed the extent to which a shipper could recover for overcharges where a carrier had failed to file a published tariff. In so doing, the Commission squarely answered in the affirmative. In so doing, the Commission followed already well-established authority and held that “when an NVOCC collects untariffed charges under the 1984 Act, that action has caused ‘actual injury’ to a shipper. *Id* at 1331. In this instance, the ID correctly found that by charging CMI unlawful detention and demurrage charges not found in a published tariff, Service by Air violated § 41104(2). ID at 20-23.

Finally, the Presiding Officer found that Service by Air violated section 41102(c) by refusing to release cargo after CMI had paid in full in order to coerce other payments not related to the transportation of that cargo. ID at 25-26. 46 U.S.C. § 41102(C), governs the receiving, handling, storing, or delivering property. Under the Act, holding cargo on unrelated shipments as ransom constitutes a violation of section 10(d)(1) of the Shipping Act. *Id.*; *see also American Steel Barge Co. v. Chesapeake & O Coal Agency Co.*, 115 F. 669, 672 (1st Cir. 1902) (lien cannot be applied beyond the amount of freight stipulated in bill of lading); *The Albert Dumois*, 54 F. 529, 530 (E.D.N.Y. 1893) (shipowners could enforce lien upon cargo for freight stated in bill of lading but for no more). Here, the Presiding Officer correctly found that the record established that the ID correctly held this to be an unreasonable practice as the record reflects that this involved multiple shipments and was not a single occurrence. ID at 17-18.

Accordingly, the findings in the ID are well reasoned and based on governing authority. Therefore, the Presiding Officer correctly held that Service by Air violated the Shipping Act of 1984 (“Shipping Act” or “Act”) by: (1) operating as a non-vessel operating common carrier (“NVOCC”) without a license or a published tariff, (2) violated section 41104(2)(A) of the Act by

imposing unlawful detention and demurrage charges on CMI; and (3) violated section 41102(c) of the Act by failing to establish, enforce, observe and enforce just and reasonable practices, was appropriate.

### **III. SERVICE BY AIR'S EXCEPTIONS SHOULD BE REJECTED**

The evidence in the record, as recognized in the ID, reflects that although Service by Air is not a licensed NVOCC, it held itself out as such by asserting it provided the same service as an NVOCC competitor, issuing bills of lading for the shipments at issue, and by providing CMI with what Service by Air falsely represented was its tariff. ID at 14-19. The record reflects that Service by Air failed to disclose to CMI that it did not actually have a tariff despite acknowledging that it should have done so. *See* Exh. B Tincher Deposition 65:7-11 (Filed April 6, 2018) (included as attachment to CMI's Opening Brief in Support of Its Claim Against Service by Air ("CMI Brief"). The indisputable evidence reflects that, consistent with having acted as an (unlicensed) NVOCC, Service by Air assumed responsibility for the delivery of CMI's cargo, which responsibility continued until the cargo was delivered to the ultimate destination. ID at 28. The record further establishes that Service by Air admitted that it intentionally did not disclose the identity of Las Freight System Ltd., or any other NVOCC, to CMI. Exh. B Tincher Deposition 154:19-22, CMI Brief.

The fact that Service by Air acted as an unlicensed NVOCC is further evidenced by the fact that it issued lump sum invoices to CMI. The invoices issued to CMI failed to break out which portion of the freight charges being assessed were Service by Air's "fees" and what portion of the purported demurrage charges were attributable to an underlying carrier. Exh. A10, CMI Brief. In so doing, Service by Air acted as an NVOCC. ID at 19. The indisputable evidence further establishes that Service by Air improperly acted as a carrier, and in violation of the Shipping Act,

by asserting a carrier's liens on CMI cargo in its possession, which cargo it refused to release despite the fact that all charges relating to those containers had been paid in full. ID at 6. Service by Air did this despite the fact that its own employees' expressed doubts as to whether it was legally allowed to do so. ID. at 18.

As reflected in the ID, in acting as an unlicensed NVOCC, Service by Air engaged in deceptive and fraudulent billing practices. ID at 19. Service by Air charged CMI hundreds of thousands of dollars in "demurrage" that had no legitimate basis. Exhs. A10, F-1, CMI Brief. These charges were not only not reflected in any published tariff, as required by the Shipping Act, in many instances they were purely fraudulent. Service by Air charged CMI for hundreds of thousands of dollars in demurrage charges despite acknowledging that no demurrage was actually owed. Exh. B Tincher Deposition 49:5-7, CMI Brief. Indeed, in some instances Service by Air charged CMI for extended periods for use of ocean carriers' containers, when in fact the containers had been returned to the carrier before any charges whatsoever had accrued. Exhs. F, F-1, CMI Brief.

Service by Air issued invoices, for example, for non-existent container demurrage charges while telling CMI that they were simply pass through costs. Exh. A-5, CMI Brief. Service by Air compounded its deceptive, unfair and unreasonable practices by exercising purported carrier's liens and refusing to release cargo in its possession to coerce CMI to pay charges on unrelated shipments. ID. at 17-18. Specifically, Service by Air demanded payment of approximately \$267,000 in alleged demurrage charges before it would release fifteen (15) CMI containers despite the fact that the suppliers of the cargo in those containers had been paid in full and despite the fact that there were no outstanding freight, demurrage or other ancillary charges owing on the

containers at issue. Exh. A-16, CMI Brief. In holding those containers at ransom, Service by Air violated the Shipping Act. ID at 25-26.

Accordingly, both the evidence in the record and the ID correctly reflects that although Service by Air is not a licensed NVOCC, it held itself out as an NVOCC by asserting it provided the same service as an NVOCC competitor, ID at 14-19, issuing bills of lading for the shipments at issue, ID at 17, and by providing CMI with what Service by Air expressly represented was Service by Air's tariff. ID at 14.

#### **IV. SERVICE BY AIR'S EXCEPTIONS LACK ANY FACTUAL OR LEGAL BASIS**

The factual assertions in Service by Air's Exception, which were fully considered and rejected by the Presiding Judge, range from the implausible to the ludicrous, and are wholly unsupported by the evidence in the record.

##### **A. SERVICE BY AIR HELD ITSELF OUT AS AN NVOCC**

Service by Air's primary defense to the Shipping Act violations at issue is that it never held itself out as an NVOCC. The evidence, however, is flatly to the contrary. As recognized in the ID, prior to entering into a relationship with Service by Air, CMI's shipments were being transported by an actual NVOCC, UTI, pursuant to a Negotiated Rate Arrangement ("NRA"). ID at 14. In order to entice CMI to transfer its business to Service by Air, Service by Air's Import/Export Manager, Bryan Tincher ("Tincher") created what Service by Air represented was Service by Air's tariff. ID at 14. That (nonexistent) tariff explicitly referenced a NRA and explicitly represented that during the term of the NRA, the transportation was subject to "*applicable surcharges, accessorial charges and or GRIs published in Carrier's tariff.*" ID at 32 (emphasis supplied). In representing that it had a published tariff, Service by Air held itself out (falsely) as a licensed NVOCC. See, e.g., *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R.

675, 685 (A.L.J. 1990); *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 1984 WL 136290 at \*17 (F.M.C. 1984); *Penn R. R. Co v. International Coal Co.*, 213 U.S. 184, 187 (1913).

Further, Service by Air admits under oath that it informed CMI that it could provide the same type of service that UTI, an NVOCC, previously had been providing to CMI,<sup>3</sup> and that Service by Air assumed responsibility for CMI's cargo. Exh. B Tincher Dep. at 67:8-11, 67:23-68:8, CMI Brief. Given these facts, Service by Air's argument that it did not hold itself out as an NVOCC is baseless.

Service by Air also admits that it represented to CMI that it was dealing directly with the steamship lines. ID at 36; Exh. A-6, CMI Brief. Service by Air also admitted that it "avoided disclosing the fact that other NVOCCs were involved in transporting CMI's goods." Exh. B Tincher Dep. at 154:19-22, CMI Brief; *see also* Exh. C, Zasada Dep. at 25:11-26:9 (Filed April 6, 2018) (included as attachment to CMI's Opening Brief in Support of Its Claim Against SBA ("CMI Brief")). Taken together, these admissions compel the conclusion that Service by Air was representing to CMI that Service by Air was providing transportation of CMI's goods from China. This is a precise description of a "holding out."

Finally, Service by Air suggests that its actions do not constitute a holding out and are not Shipping Act violations because its improper practices were only directed toward CMI and not the "general public." Exceptions at 26. This argument fails for a multitude of reasons. *First*, under well-established Commission precedent, the general public does not mean everybody. "The Commission has held that it is not necessary for a carrier to hold itself out to transport all

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<sup>3</sup> Astonishingly, as addressed below in Section VI, Service by Air accuses CMI of misleadingly suggesting that Service by Air so testified when that exactly reflects its representative's sworn testimony.

commodities, for all shippers.” *Tariff Filing Practices of Containerships*, 9 F.M.C. 56, 63 (1965). “A line may be a common carrier of certain commodities as long as it is willing to carry those commodities for all who wish to ship them.” *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 318 (1962). *Second*, there is not the slightest evidence – and Service by Air points to none – that Service by Air restricted its holding out as a common carrier to CMI. Rather, Service by Air held itself out as a carrier of any goods from China to the United States. Finally, there is no legal (or rational) basis for Service by Air’s radical suggestion that a regulated entity is free to engage in unjust and unreasonable practices on a regular and continuous basis with impunity so long as it only directs its unreasonable practices at one unlucky shipper.

In light of all of the above, the ID correctly found that Service by Air held itself out as an NVOCC.

## **B. SERVICE BY AIR ISSUED BILLS OF LADING**

It is well established that one of the primary means of establishing that a party has assumed responsibility of transportation, and thus acting as an NVOCC, is by issuing a bill of lading. Indeed, the Commission and federal courts have recognized that issuing bills of lading is the *sine qua non* of assuming responsibility for transportation and acting as an NVOCC. As the Second Circuit held in *Prima U.S. Inc. v. Panalpina, Inc.*, 223 F.3d 126, 129 (2d Cir. 2000), NVOCCs can be distinguished readily from freight forwarders and other entities providing transportation services based upon the fact that NVOCCs issue bills of lading; *see also GIC Services, LLC v. Freightplus, USA, Inc.*, 866 F.3d 649 (5th Cir. 2017) (“Unlike an NVOCC, a freight forwarder does not issue a bill of lading”); *Scholastic Inc. v. M/V Kitano*, 362 F. Supp.2d 449, 455-46 (S.D.N.Y. 2005) (“the most fundamental difference between a freight forwarder and an NVOCC

is that an NVOCC issues a bill of lading. . . . It is from the bill of lading – the NVOCC’s contract with the shipper – that its liability to the shipper for its cargo derives.”); *Strickland v. Evergreen Marine Corp.*, 2007 WL 539424 at \*4 (D. Or. 2007) (“[b]ecause Abco arranged to ship plaintiffs’ goods from Indonesia to the United States, and issued a bill of lading to plaintiffs, I conclude as a matter of law, that Abco acted as an NVOCC, not as an ocean freight forwarder”).

Recognizing this fact here, Service by Air’s contends in its Exceptions (as it did below) that “Service by Air did not issue to CMI any bills of lading.” Service by Air Exceptions at 10. This assertion is baseless as it ignores the plain evidence in the record. The plain truth is that Service by Air issued its bills of lading for at least 28 of the 34 shipments subject to this proceeding, and 25 of the 28 shipments for which CMI is entitled to reparations. Exh. A-4, CMI Brief. Service by Air attempts to make those bills of lading disappear, however, by arguing they were not “issued” or “functional.” Service by Air Exceptions at 11. The argument that the air waybills were not “issued” is nonsensical given the fact that Service by Air provided the documents to CMI.<sup>4</sup> *See, e.g.,* Carriage of Goods by Sea Act, Section 3(3) (“After receiving the goods into his charge the carrier, or the master or agent of the carrier, shall, on demand of the shipper, issue to the shipper a bill of lading....” This obviously means “give the bill of lading to the shipper,” which is exactly what Service by Air did.) 46 U.S.C. §30701, Note. Moreover, each of the Service by Air bills of lading stated “issued by Service by Air, Inc.”

Service by Air’s assertion that the bills of lading were not “functional bills of lading” is equally baseless. The term “functional bill of lading” which Service by Air concocts, is not a term recognized in the transportation industry. Presumably, Service by Air’s argument is that the bills of lading it issued did not serve a transportation function. This contention is meritless, however,

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<sup>4</sup> Service by Air Exceptions at 3.

as the Service by Air bills of lading clearly served transportation functions. Eight of the 28 air waybills issued by Service by Air contain the following statement:

It is agreed that the goods described herein are accepted in apparent good order and condition (except as noted) for carriage SUBJECT TO THE CONDITIONS OF CONTRACT ON THE REVERSE HEREOF ALL GOODS MAY BE CARRIED BY ANY OTHER MEANS INCLUDING ROAD OR ANY OTHER CARRIER UNLESS SPECIFIC CONTRARY INSTRUCTIONS ARE GIVEN HEREON BY THE SHIPPER, AND SHIPPER AGREES THAT THE SHIPMENT MAY BE CARRIED VIA INTERMEDIATE STOPPING PLACES WHICH THE CARRIER DEEMS APPROPRIATE. THE SHIPPER'S ATTENTION IS DRAWN TO THE NOTICE CONCERNING CARRIERS LIMITATION OF LIABILITY. Shipper may increase such limitation of liability by declaring a higher value of carriage and paying a supplemental charge if required.<sup>5</sup>

The goods are described on the Service by Air bills of lading by name and the number of the container in which they were shipped. Thus, the bills of lading functioned as receipts for cargo. In addition, they are clearly evidence of a contract of carriage as specifically noted in the statement quoted above. These are two of the classic functions of a bill of lading and certainly qualify Service by Air's bills of lading as "functional."

Service by Air's bills of lading also functioned as evidence of Service by Air's undertaking to transport CMI's cargo from China to the United States as a carrier. As noted above, Service by Air clearly identified itself as the issuer of these bills of lading, and, therefore, the carrier performing the transportation reflected in these documents. Moreover, an examination of these documents reveals that Service by Air took pains to describe the specific shipments it handled for CMI on each of these bills of lading. This is clearly demonstrated by comparing the Service by Air bills of lading to the Las Freight bills of lading that were also issued for the CMI shipments.

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<sup>5</sup> See the Joint Appendix at JA00047, 00092, 00205, 00508, and 00554. Three additional air waybills for which no demurrage was sought are attached as Supplemental Exh. 9. The fact that this statement appeared on a number of the bills of lading issued to CMI by Service by Air clearly implies that the statement would be applicable to all of the bills of lading. See, e.g., *Independent Mach. V. Kuehne + Nagel, Inc.*, 867 F. Supp. 752, 765 (N.D. Ill. 1994) (course of dealing arises from five prior transactions.)

- The shipper and consignee on the Service by Air bills of lading are correctly identified, whereas a significant number of the Las Freight bills of lading incorrectly identify CMI as the shipper in China. *See* discussion at p. 13, *infra*.
- The port of loading and the place of delivery on the Las Freight and Service by Air bills of lading are closely related and, in the case of the place of delivery, usually identical.
- Each of the Service by Air bills of lading shows the container (by number) in which the goods were carried as set forth on the Las Freight bills of lading.
- The description of the goods on the Service by Air bills of lading was usually “bags” or “LDPE bags,” which, as can be seen from the Las Freight bills of lading, were the primary commodity moved for CMI.

Thus, the Service by Air bills of lading also functioned as documents identifying the transportation provided by Service by Air for CMI.<sup>6</sup> Further, bills of lading issued by Service by Air to CMI expressly provide that the goods moving thereunder could move by means other than air. Exh. A-4, CMI Brief. Accordingly, the bills of lading issued by Service by Air constitute irrefutable proof that Service by Air was acting as an NVOCC. *Prima U.S. Inc. v. Panalpina, Inc.*, 223 F.3d 126, 129 (2d Cir. 2000), *GIC Services, LLC v. Freightplus, USA, Inc.*, 866 F.3d 649 (5th Cir. 2017) (“Unlike an NVOCC, a freight forwarder does not [i]ssue a bill of lading”); *Scholastic Inc. v. M/V Kitano*, 362 F. Supp.2d 449 (S.D.N.Y. 2005).

Service by Air’s argument as to why the Commission should ignore the fact that it issued bills of lading to CMI for almost each of the shipments at issue simply cannot withstand scrutiny.

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<sup>6</sup> The Service by Air bills of lading were also used to identify the CMI shipments internally and to Service by Air’s subcontractors for inland transportation. *See, e.g.*, Joint App. Folder 17, Doc. Nos. JA00085, JA00086, JA00087, JA00088, JA00089, JA00090, JA00091, JA00092, JA00093, JA00095, JA00096, JA00098, JA00100, JA00101, JA00102, JA00105, JA00107, JA00108, JA00109, JA00110, JA00111, JA00114.

Service by Air relies upon the Declaration of Mr. Edward Zasada, Service by Air's Regional Manager, to contend that somehow in the fog of time *over the last three years*,<sup>7</sup> Service by Air does not really know why it issued CMI bills of lading for almost every one of the shipments at issue but has to presume that it did so in response to CMI's request for shipping documentation. *Id.*( SBA Exceptions, Attached Appendix at RX 119-120.) The fact that Service by Air issued the bills of lading to CMI in response to CMI's request for shipping documents for the transportation at issue clearly shows that Service by Air considered its bills of lading a functional transportation document. *See*, Carriage of Goods by Sea Act, Section 3(3), Note (Service by Air acted as a carrier by issuing its bill of lading "at the request of the shipper"). Moreover, the notion that neither Service by Air nor Mr. Zasada know why Service by Air issued bills of lading to CMI for each of the shipments at issue defies belief and is entitled to no weight.

No amount of Service by Air's protestations to the contrary can hide the fact that the evidence established in the record reflects that Service by Air issued bills of lading, and falsely represented to CMI that it had a tariff.

### **C. SERVICE BY AIR WITHELD THE IDENTITY OF THE ACTUAL CARRIER**

Service by Air repeatedly asserts that it did not intentionally hide the identity of the actual carrier. Service by Air Exceptions at 20. Yet, testimony and the record reflect that Service by Air admitted that it did not tell CMI that other NVOCCs were involved.<sup>8</sup> Further, CMI did not have a direct relationship with LAS Freight as Service by Air claims. ID at 5. Because CMI had no

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<sup>7</sup> Radiant acquired Service by Air in June of 2015. Zasada Dep. at ¶ 3.

<sup>8</sup> Service by Air seeks to justify its intentional non-disclosure with the patronizing assertion that it wanted to keep things "simple" for CMI. Exh. B Tinchler Dep. at 154:19-22, CMI Brief; Exh. C Zasada Dep. at 25:18-26:9 and 42:18-43:19, CMI Brief. CMI submits that it would have been even "simpler" if Service by Ari had truthfully disclosed the nature of the services it was providing.

contact with Las Freight and only dealt directly with Service by Air it was not aware of LAS Freight's involvement in the shipments. ID at 35. Additionally, CMI did not have contact with the steamship lines, or any other downstream carriers. *Id.* CMI only ever spoke to Service by Air regarding the services. *Id.*

Unlike NVOCCs, ocean freight forwarders, are bound to keep shippers informed with respect to their shipments and not to conceal the identity of the actual carrier. *Worldwide Relocations*, 31 S.R.R. 1471, 1519. (A.L.J. 2010). As discussed in the ID at 17-19, Service by Air's actions in controlling the shipments at issue and hiding the existence of other NVOCCs, further evidences that Service by Air was acting as an NVOCC.

**V. SERVICE BY AIR FAILED TO OBSERVE JUST AND REASONABLE BILLING PRACTICES**

Service by Air charged CMI hundreds of thousands of dollars in "demurrage" that had no legitimate basis. Exhs. A10, F-1, CMI Brief. In its Exceptions Service by Air now contends that the "demurrage" charges were actually storage or other charges, and its fraudulent practice of billing for non-existent demurrage was simply "inartful" Thus, Service by Air invites the Commission to disregard the fact that it billed CMI for demurrage that did not exist. Service by Air Exceptions at 20.

Service by Air's argument lacks factual or legal support. First, Service by Air's wholly implausible contention ignores the fact that pursuant to the Shipping Act, it is only permitted to charge CMI rates, including ancillary charges, reflected in a published tariff. Here, as the ID recognized, there was no such tariff. ID at 3, 19-20. Accordingly, Service by Air's purported inartful invoicing defense fails as a matter of law.

Further, the indisputable evidence in the record clearly reflects that most of the charges assessed were in no way mistaken billing. Several of the charges were purely fraudulent and no

demurrage was actually owed. Exh. B Tincher Deposition 49:5-7, CMI Brief. Indeed, in some instances, Service by Air charged CMI for extended periods for use of ocean carriers' containers, when in fact the containers had been returned to the carrier before any charges whatsoever had accrued. Exhs. F, F-1, CMI Brief. In other instances, Service by Air refused to release containers in its possession until CMI paid what Service by Air incorrectly characterized as demurrage on other containers that Service by Air was billing at a rate of \$300 per day. Exh. A-16, CMI Brief. Some of the charges that Service by Air was demanding be paid before it would release containers included charges arising out of instances when CMI was billed thousands of dollars for the supposed delayed return of containers to MSC, despite the fact that the containers had immediately been returned to MSC and no charges had accrued. *See* Exh. F-1, CMI Brief. For example, Service by Air was able to extort a payment in excess of \$276,000 from CMI before Service by Air would release fifteen containers for money purportedly owed on unrelated shipments. Exh. A-16 & Exh. A-17, CMI Brief.

Service by Air is not licensed by the Commission as an ocean transportation intermediary. ID at 19. Despite this, Service by Air operated as an NVOCC on CMI's shipments. Service by Air regularly, routinely and continuously defrauded CMI for hundreds of thousands of dollars by falsely imposing and collecting nonexistent "demurrage" charges. Service by Air's actions were not a single isolated event for a single shipment. Rather, Service by Air's actions reflect an ongoing practice for well over a year on multiple shipments. These fraudulent practices occurred on a large number of shipments and for an extended period of time (dating from April of 2014 through July of 2015). ID at 37. Indeed, Service by Air helped perpetrate its fraud by issuing Service by Air bills of lading to CMI—despite the fact that Service by Air was not a licensed NVOCC—for at

least 28 of the 34 shipments at issue in the proceeding. Exh. A-4, CMI Brief. Accordingly, the record clearly establishes that Service by Air actions were “normal, customary and continuous.”

Service by Air seeks to excuse billing for overblown (or nonexistent) charges on the grounds that CMI agreed to pay Service by Air \$300 per day in demurrage charges even though that amount was far in excess of the daily rate reflected in the steamship line’s tariff. *See* Exh. F and Exh. F1, CMI Brief. Even if, inexplicably, CMI had agreed to pay such an amount – which it did not – Service by Air is not entitled to charge CMI more than is reflected in an applicable tariff. Further, CMI did not set the rate, rather CMI asked Service by Air what the daily rate was for demurrage and was informed that it was \$300 per day. Exh. 1 Deposition of Maria Teresa Vega. at 145-146: 24, 1-5, Declaration of Steve Block (filed May 2, 2018) (“Exh. 1 Vega Dep.”). If it was CMI’s idea to pay \$300 per day, CMI would not have had to ask Service by Air what the daily rate was.

Service by Air assertion that it should not be held responsible for its actions because CMI paid the amounts sought “without protest,” is even more astounding. Service by Air Exceptions at 2-3. Having threatened that it would not release CMI containers in its possession until charges for unrelated shipments were paid – which containers were needed for CMI to continue to be able to remain in business – Service by Air cannot now legitimately contend that its fraudulent actions should be ignored because CMI voluntarily made the payments at issue. Exh. A-16, CMI Brief. This is analogous to a bank robber asserting her innocence because that the teller handed over the cash without protest “once I pointed a gun at her head.” In fact, that is exactly what Ms. Vega testified. (“it felt like you know, Service by Air was putting a gun to CMI’s head and saying: Until you come due with our payments, we’re not releasing your product or your containers.” Exh. 1 Vega Dep. at 94: 19-24.

**A. THE ID DID NOT ERR IN NOT PERMITTING SERVICE BY AIR TO RETAIN FUNDS PAID TO THIRD PARTIES FOR UNRELATED SERVICES**

Service by Air contends that the ALJ overlooked certain amounts Service by Air paid to third parties for non-demurrage related charges. This assertion has no foundation.

Service by Air's apparent assumption that the ID's failure to deduct \$27,346.75 that Service by Air purportedly paid to third parties was an oversight, ignores the fact that the ID reflects that the ALJ closely scrutinized these files. ID at 40-73. Instead, the ID soundly reflects a conclusion that Service by Air should not be allowed to retain funds it collected from CMI for demurrage charges, simply because Service by Air may have made non-demurrage charge payments to third parties. This conclusion is particularly valid given that Service by Air is a sophisticated full-service transportation provider, that knows how to invoice customers in a non-deceptive and non-fraudulent fashion. Having billed CMI in way so as to avoid disclosing the actual services it was providing, Service by Air should not be permitted to retain funds collected for nonexistent demurrage charges, simply because unrelated funds were paid to a third party.

**VI. SERVICE BY AIR'S EXCEPTIONS MISREPRESENT THE FACTS**

Throughout Service by Air's Exceptions, it repeatedly misrepresents facts clearly established in the record. The most notable of these, as set forth above, is its bald assertion that it did not issue bills of lading when the evidence is clearly to the contrary. ID at 17-18. Other examples, also cited above, include its assertion that it did not represent to CMI that it had a tariff, ID at 14-15, and its ludicrous contention that CMI, as opposed to Service by Air, determined that CMI should pay \$300 per day in (nonexistent) demurrage charges. Another example of Service by Air distorting the record is its claim in its Exceptions, that CMI misstated, (and the ID

inaccurately cited) the testimony of Service by Air's Import/Export Manager, Bryan Tinch. In this regard, Service by Air asserts that Mr. Tinch never testified that Service by Air was providing the same type of service as UTI, the NVOCC it was competing with for CMI's business. However, the testimony cited in Service by Air's own Exceptions clearly shows that is exactly how he testified.

Q Essentially, *though you were saying "Listen, we provide the same type of service as UTI, right?"*

A Yes

Service by Air Exception at 19. (*Emphasis supplied.*)

Service by Air's Exceptions are replete with other unsupported and unsupportable assertions as well. Thus, while admitting that in sworn testimony that it refused to release containers in its possession — despite the fact that all charges relating to those containers had been paid in full—it asserts in its Exceptions that it was never in possession of the cargo and never asserted a carrier's lien on it. Exceptions at 8. Such assertions are entitled to no weight.<sup>9</sup>

## **VII. CEASE AND DESIST ORDER IS PROPER**

Service by Air is not licensed by the Commission as an NVOCC. Despite this, Service by Air operated as an NVOCC on CMI's shipments. CMI has alleged, and the record establishes, that Service by Air regularly, routinely and continuously defrauded CMI for hundreds of thousands of dollars by falsely imposing and collecting nonexistent "demurrage" charges. These fraudulent practices occurred on a large number of shipments and for an extended period of time (dating from

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<sup>9</sup> In a previous Motion to Dismiss, Service by Air baldly stated that it "has never participated in ocean transportation." It later doubled down on this misrepresentation in a Reply Brief in Support of its Motion to Dismiss where Edward Zasada swore that Service by Air made no representation to CMI that any of the demurrage it was collecting was originally charged by a steamship line, when in fact, there were at least eight separate emails in which this representation was made, *see* Exh. A-6, CMI Brief and Edward Zasada himself made three of the representations (and he was cc'ed on six more).

April of 2014 through July of 2015). Indeed, Service by Air helped perpetrate its fraud by issuing Service by Air bills of lading to CMI and by intentionally misrepresenting that it had a tariff. ID at 14-19. Exh. A-4, CMI Brief. Under these circumstances for Service by Air to suggest that its actions were isolated or discrete events and not its regular practice is baseless. Accordingly, the entry of the cease and desist order in the ID was appropriate as it is clear that Service by Air refuses to acknowledge its wrongdoing and if permitted to do so will (1) continue to operate as an NVOCC without a Commission license and as a common carrier without a published tariff and (2) continue to defraud innocent shippers.

### **VIII. CONCLUSION**

The Initial Decision of the Presiding Officer, both in terms of findings and conclusions of law, is strongly supported by the weight of the evidence and Commission precedent. As set forth above, the Respondent's Exceptions are factually and legally deficient. Further, Respondent's argument regarding the statutory definition of a NVOCC under the Shipping Act is unsupported by precedent and basic principles of statutory interpretation. For all these reasons, Respondent's Exceptions should be denied, and the Initial Decision affirmed.

Dated: July 31, 2019

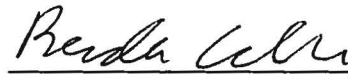
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### **CERTIFICATE OF SERVICE**

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressees at the addresses stated by electronic transmission, this 31st day of July 2019:

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Brendan Collins